

QNST pitch deck

PITCH — QNST — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches land on **FLAT / no starter** at \$19.44; the name is worth watching, not owning, and reopens only on a ≤\$14.50 touch *plus* a clean organic growth number on the November print.

What we believe

QuinStreet buys advertising traffic wholesale and resells it as sales leads — mostly to auto insurance carriers (69% of revenue) and, increasingly, to home-services contractors (31%). The original idea that put it on our list was simple: everyone assumes Google's AI answer boxes are killing the "click an ad, fill in a form" business, and QuinStreet's revenue was accelerating anyway, so the funnel must be more durable than the market thinks. On top of that, OpenAI has just started selling ads, and QuinStreet looked like a natural buyer of that new inventory.

After the court, we believe something narrower and much less exciting. The acceleration was mostly an acquisition. HomeBuddy, bought for \$190M and closed January 2, 2026, contributed **\$88.9M of the \$200M total revenue increase** in fiscal 2026 and **\$88.9M of the \$128.8M** home-services increase. Strip it out and the company grew about **+10% organically**, not +18%. Next year's guidance looks like +16% growth, but roughly \$90M of the \$206M increase is just HomeBuddy going from six months in the numbers to twelve — organic guidance is about **+9–10%**.

What's left underneath is a business that resells other people's traffic at a **13.3% gross margin** and has earned **+\$18.8M of cumulative operating income over eight years** (fiscal 2019 through 2026: +10.7, +6.2, +13.9, -4.7, -20.8, -28.1, +6.2, +35.4, in \$M). Fiscal 2026's 2.7% operating margin is the *best* of those eight years. Reported net income of \$81.2M looks great but is inflated by a one-time tax benefit; taxed normally, the company earns roughly **\$0.45 per share, or about 43× the current price**.

So: not a fraud, not a melting ice cube, but not the compounder the pitch described either. A cyclical, thin-spread middleman at the good part of its cycle, at a fair-to-full price.

What the market believes

The market is not pricing funnel death — that premise was simply wrong. The stock closed **\$19.44** on August 29, 2026, which is **+89% off its 52-week low of \$10.29** and only **-12.8% off its high of \$22.29**. It jumped ~26% on the June-quarter earnings release. Sell-side consensus is **Strong Buy with an average target of \$22.40**.

What the market believes, roughly, is what management guided: ~\$1.5B of revenue and \$150–160M of adjusted profit in fiscal 2027, with insurance carriers flush with capital and spending, and home services broadening the base. Sell-side models generally *do* net out the HomeBuddy contribution — the decomposition we treated as our killer finding is in published coverage. The market is not making an error we caught; it is making a bet on the cycle holding.

Why we might have edge

Three places where our work is genuinely different from the consensus read, honestly ranked:

1. **Normalized earnings, not adjusted earnings.** The screen-visible P/E of ~13.9× is an artifact of a valuation-allowance tax release. Tax the actual operating income at a normal rate and you get ~43× — against a company whose eight-year cumulative operating profit is \$18.8M. Almost nobody carries that number. Neither bench had it going in; our blue bench produced it while trying to *defend* the name, which is the most credible way for a bearish fact to arrive.
2. **The multiple is not what the pitch said.** Enterprise value is not \$1.06B. Market cap is ~\$1,110M (57,086,409 shares × \$19.44), plus \$70.0M of debt, plus the **\$75M of HomeBuddy post-closing payments owed over four years** (~\$18.75M/year of cash already committed), less \$128.3M of cash → **EV ≈ \$1.13B**. That's **7.3×** guided profit — but stock compensation is \$37.4M/year and rising with a share count that went 53.7M → 58.7M. Net of that, ~**10.0×** **EV/(EBITDA–SBC)**, not 6.8×.
3. **The spread is structurally rentable by someone else.** About 87 cents of every revenue dollar is purchased media. A 200 basis point increase in what the upstream platform takes — roughly \$30M on \$1.5B of revenue — removes about **20% of adjusted profit** from a pricing decision QuinStreet does not make. And the AI-agent channel is not free optionality: in search, QuinStreet owns the landing page and the form; in a conversational agent, the agent owns the form and can route the customer to the carrier directly.

Why it might be priced in

Most of it is. Honestly stated:

- The HomeBuddy contribution is **disclosed by the company** and is already the frame of published coverage. That's a consensus fact, not an insight.
- The organic-lap arithmetic on fiscal 2027 guidance is in every sell-side model.
- The 21%-of-revenue client concentration is a stated risk factor in the 10-K.
- The stock trades at a full price *after* a big print, with the street long and a target above spot. There is no dislocation here; the tape and the fundamentals agree. Being right about “it's only 10% organic” earns nothing if that is what the price already assumes.

What may *not* be priced: the normalized-tax earnings picture (#1 above), because the reported number is so much prettier. That is one fact, and one fact at a fair price is not a position.

What could go wrong

Failure narrative 1 — We buy the reopen at \$14.50 and it was a cycle top, not a discount.

Auto insurance carriers are “exceptionally well capitalized” by management’s own description, which is another way of saying advertising budgets are at a cyclical high. Fiscal 2022–2024 shows what the down leg looks like: three consecutive years of operating losses totalling –\$53.6M. If carrier spend rolls, a 25% drawdown is the first quarter of a 60% one, and our \$14.50 “value” level is just a waypoint. *Tripwire exists*: financial-services segment revenue growth going negative sequentially for two quarters; carrier combined-ratio commentary in the Q3/Q4 earnings of the top carriers.

Failure narrative 2 — Agent disintermediation happens, and we never see it until it is in the revenue. NO MONITORABLE TRIPWIRE. If insurance carriers begin buying customer intent directly inside conversational assistants, QuinStreet’s lead volumes decay quietly for two to four quarters before any filing shows it, and by then the multiple has re-rated, not just the estimates. There is no disclosure anywhere — not in QuinStreet’s filings, not in carrier filings, not in any data source we own — that reveals a carrier reallocating media budget away from lead aggregators. Our customs/entity-resolution connector is useless here: the 21% client is a domestic insurer that imports nothing.

Unknown-unknown class: unobservable counterparty intent — the decision that kills the business is made inside a private buyer’s media plan, is never filed, and has no physical or transactional footprint we can instrument. This is the single highest-value gap in the file and it is not closeable with anything in our library.

Failure narrative 3 — We are right about the business and wrong about the price, in the other direction. HomeBuddy annualizes to roughly \$178M of revenue at an underwritten “\$30M+” of profit — about a 17% margin against a corporate average of 8.7%. If management keeps buying assets like that, the mix keeps improving and the “13% gross margin middleman” framing ages badly while the stock compounds to \$28 without us. Our loss here is opportunity cost, which is real. *Tripwire exists*: two consecutive quarters of gross margin $\geq 15\%$ *excluding* HomeBuddy mix.

The reflexive and structural leg. Our own footprint is not the risk here — even a full 1% book position is small against a \$1.1B mid-cap’s daily volume — but we never polled actual daily volume, because the broker connection denied the request, so that statement is an assumption rather than a measurement. The real self-inflicted risks are procedural:

- **We would be bidding into flow we ourselves predict.** Our reopen level (\$14.50) and our decision variable (the November earnings report) are the same event. A resting good-till-cancelled buy order sitting 25% below the market through an earnings print is not a value order — it is an accidental bet that the stock does *not* gap, and it fills precisely in the scenario where the fundamental case just got worse. **The band must be a court trigger, not a live order.** Any purchase is manual and after the numbers are read.
- **Doctrine collision on “fair price.”** Our house habit is that a clean court with no named kill defaults to a small starter position. This court has a named kill (no through-cycle earnings power), so FLAT is legitimate — but we should be honest that the same habit, applied one notch more loosely, would have us long here for no reason other than discomfort with owning nothing.

- **Both benches share one unverified estimate.** The ~\$47M HomeBuddy contribution inside the June quarter is a bench estimate, not a disclosed figure. Every “organic FQ4 $\approx$ +25%” statement in this deck inherits that estimate.

If this position loses money, the most likely reason will be that we bought a 25% drawdown in a cyclical middleman and mistook the beginning of a carrier ad-spend downturn — or a quiet reallocation of that spend into AI assistants that no filing will show us for a year — for a valuation opportunity.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Revenue accelerated through the AI-Overviews transition — the funnel is intact”	10-K FY26 acquisition note + segment arithmetic off the 8-K	HomeBuddy contributed \$88.9M of the \$200M total and \$88.9M of the \$128.8M home-services increase; organic +10.2%, not +18%	REFUTED — the load-bearing number was an acquisition
“FY27 guidance +16% is organic compounding”	Guidance vs. HomeBuddy 6→12 month lap	~\$90M of the \$206M increment is the lap; organic $\approx$ +9–10%	REFUTED
“The tape prices funnel death”	Verified close + 52-week rails + consensus	\$19.44, –12.8% off high, +89% off low, Strong Buy, \$22.40 target	REFUTED — our own premise, not the market’s
“6.8× EV/EBITDA”	Share count from 10-K cover, balance sheet from 8-K, plus the \$75M post-closing payments	EV $\approx$ \$1.13B → 7.3× guided; ~10.0× net of stock comp	REFUTED as stated; corrected
Reported P/E of ~13.9×	Operating income taxed at a normal ~25% rate	~\$0.45 normalized EPS → ~43×; the low P/E is a tax-benefit artifact	CONFIRMED — the strongest bear fact in the file
No through-cycle earnings power	XBRL OperatingIncomeLoss, FY19–FY26	+\$18.8M cumulative over eight years; FY26’s 2.7% margin is the best of them	CONFIRMED
Debt of \$77.7M (red bench)	8-K balance sheet	Non-current debt is \$70.0M	RED BENCH ERROR — corrected
“FQ4 FY25 was the trough quarter — easiest comp available” (red bench)	Prior-year releases	FQ4 FY25 was +32% YoY and the largest June quarter in company history ; FQ4 FY24 was +52%. Red mistook three sequential declines <i>within</i> a fiscal year for a depressed year-over-year comp	RED BENCH ERROR — finding overturned
“A 200bp take-rate rise erases ~50% of adjusted profit” (red bench)	Same sensitivity, arithmetic redone	~\$30M on ~\$1.5B revenue vs. \$155M profit = ~20% , which is what red’s own filed detector said two paragraphs later	RED BENCH ERROR — severity halved
“The spread is compressing” (red bench, implied)	Gross margin, June quarter, both years	\$27.9M/\$262.1M = 10.6% → \$49.8M/\$373.9M = 13.3% ; gross profit +78% on revenue +43%. Margin widened 270bp during peak AI-answer penetration	REFUTED — the mechanism is real, the claim that it is happening is not
“15.3× EV/(EBITDA–SBC)”	Period alignment	Red used FY26 profit against an FY27-corrected EV. Like-for-like is ~10.0×	RED BENCH ERROR — period mismatch

Claim	How checked	Found	Confirmed?
(red bench)			
“Financial services already decelerating at +8.7%” (red bench)	Segment quarters	+8.7% is the full-year figure; the June-quarter exit rate was +24.5% (\$232.3M vs \$186.6M)	RED BENCH ERROR — corrected
“Gross-margin expansion shows pricing power” (blue bench)	HomeBuddy margin math	HomeBuddy annualizes ~\$178M at an underwritten ~17% margin vs. 8.7% corporate — the expansion is mix , not pricing. Legacy business runs ~9.5%	BLUE BENCH SELF-CORRECTION — recorded against its own case
“Reopen band \$14.50 ≈ 6× EV/(EBITDA–SBC)” (blue bench)	Recomputed at \$14.50	At \$14.50, EV ≈ \$844M / \$113M = ~7.5×. A true 6× is ~\$11.60. The band is a –25% drawdown level; its multiple label was wrong	BLUE BENCH ERROR — band kept, label corrected
One client at 22–24% of revenue	10-K FY26	21% ; top-20 = 58%; contracts cancelable with no penalty and no notice	CONFIRMED — slightly better than the brief, still a fifth of revenue on no-notice terms
Insider selling signal from the August Form 144/4 cluster	Attempted direct filing read	SEC blocked our direct requests (HTTP 403); read via a text-extraction proxy only. Pattern looks like scheduled 10b5-1 and vest-withholding	UNRESOLVED — carries no weight either way
Live intraday price and volume	Broker market-data request	Permission denied. All prices in this deck are a verified secondary close (\$19.44, Aug 29 2026), not our own tape	COVERAGE GAP

Two notes on our own process. First, the machine-built evidence pack was stale and partly wrong: it carried a price of \$17.535 (superseded by the \$19.44 close) and an XBRL block containing 2012–2014 revenue rows and an operating cash flow of –\$13.7M that had nothing to do with the current business. Both benches caught it independently and rebuilt from filings; that is the system working, but the pack should not have shipped that way. Second, the red bench’s detector list ruled on several detectors that were not in this pack and skipped five that were — including the acquisition-accounting detector nearest to the actual issue. The blue bench ran it: HomeBuddy is an ordinary third-party purchase, correctly disclosed, and the contribution figure that killed our thesis came from the company itself.

Primary sources: [10-K FY2026](#) · [8-K FY2026 exhibit 99.1](#) · [SEC XBRL — operating income history](#) · [FY2024 results, June-quarter revenue \\$198.3M](#)

PROPOSED ENTRY BANDS

No entry. No position, no orders, no resting bids at any price today. The court’s verdict is flat, and the reopen conditions below are triggers for a *new* review, not standing instructions to buy.

Reopen requires BOTH a price condition and a fact condition.

Price condition (reopen the file for work): - **\$14.50 or below** — approximately –25% from the \$19.44 reference close; at that price the enterprise value is ~\$844M, or ~7.5× fiscal-2027 guided profit net of stock compensation. (Correcting our own bench: this level was labelled “≈6×” and it is not.) - **\$11.60 or**

below — the true ~6× level, and the only price at which the eight-year record of \$18.8M of cumulative operating income is actually being paid for.

Fact condition (the decision variable): the first-quarter fiscal-2027 report, expected around **November 5, 2026 — date UNCONFIRMED**, derived from a data vendor, with no company press release yet setting it. The prior-year equivalent was announced October 27, 2025. The number that matters is the organic (ex-HomeBuddy) total revenue growth rate, which the company does disclose: - **≥20% organic** → the original thesis is alive; reopen the file at any price, including above the bands. - **10–20% organic** → stay flat; keep the price bands. - **<10% organic** → close the file permanently; delete the bands.

If both conditions are met: - Starter **0.35–0.50% of book**, executed manually and only after the report is read. No good-till-cancelled order may sit through the print. - Second tranche **0.35% of book at ~\$11.60**. - **Hard cap 1.0% of book**, permanently — set by the 21%-single-client concentration on no-notice contracts and by the fact that the disintermediation question cannot be resolved by any tool we own.

Exits and trims, should we ever hold it: - Trim back to the starter if the stock reaches roughly 10× enterprise value to profit-net-of-stock-comp (about \$19.50 on current guidance — i.e., today's price is already the trim level, which is the cleanest possible statement of why we are not buying). - Full exit on either: gross margin excluding HomeBuddy mix below 11% for two consecutive quarters, or an 8-K/10-Q disclosing loss or non-renewal of the 21% client.

Dates that matter: - **~Nov 5, 2026** — first-quarter fiscal 2027 results (unconfirmed; watch for the scheduling press release ~2 weeks prior). - **Jan 2, 2027** — one-year anniversary of the HomeBuddy close; the January–March 2027 quarter (reported ~May 2027) is the **first quarter with a clean like-for-like base**, and the first honest organic growth read without any estimate in it. - **Ongoing** — \$75M of HomeBuddy post-closing payments, roughly \$18.75M/year, already committed cash.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.6 (deck-provisional: True ~6x EV/(FY27 EBITDA less SBC) after correcting the blue bench's mislabelled band; second-tranche)
- filing watch: 10-Q until 2027-02-28 (deck-provisional: FQ1 FY27 ex-HomeBuddy organic revenue growth is the kill-variable: >=20% reopens the file, 10-20% hold)
- dated pack QNST|2026-11-05: QNST: FQ1 FY27 results and 10-Q carrying the ex-HomeBuddy organic disclosure - the decision variable. Vendor-derived date; prior-year analog
- dated pack QNST|2027-01-02: QNST: One-year anniversary of the HomeBuddy close; the Jan-Mar 2027 quarter is the first clean like-for-like base with no contribution estim
- dated pack QNST|2027-05-05: QNST: FQ3 FY27 results - first fully organic year-over-year read post-HomeBuddy lap. Date approximate, not company-confirmed. (date confirme

What remains unverified

- **The June-quarter organic split.** The ~\$47M HomeBuddy contribution inside the June quarter — and therefore “organic FQ4 $\approx$ +25%” — is a shared bench estimate, not a company-disclosed figure. Both benches used it; neither derived it independently. It is the weakest load-bearing number in this deck.
- **The live tape.** Never polled at source. Broker permission denied. Prices are a verified secondary close from August 29, 2026.
- **Average daily volume.** Never measured; our “our size is immaterial” claim is an assumption.
- **The November 5 print date.** Vendor-derived. No company release confirms it.
- **Insider selling.** SEC blocked direct filing access (403); read through a text-extraction proxy only. Both the 10-K and 8-K excerpts underpinning this deck were fetched the same way — the numbers reconcile against each other and against the segment arithmetic, but the provenance is a proxy, not a direct pull.
- **Carrier media allocation.** Whether the 21% client, or carriers generally, are shifting budget toward AI assistants and away from lead aggregators. Unobservable with anything we own. This is the permanent size cap on the name and the reason a 1% ceiling stands regardless of price.
- **Any OpenAI advertising relationship.** No dated disclosure, no dollar figure. Management’s own language indicates it does not exist yet. The “new channel” leg of the original pitch is currently an argument, not a fact.
- **Whether the stock-compensation run rate holds.** We deducted ~\$42M against fiscal-2027 guidance by extension of the fiscal-2026 figure; the company does not guide to it.

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